



A2: Investment Policy Statement

Client: Mr. Vivek Premkumar
Portfolio Manager: Vivek Premkumar

Course: Portfolio Management
Professor: Dr. Paul Ahn CPA

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I. Scope and Purpose

This Investment Policy Statement (IPS) is a formal document outlining the investing goals, methods, and guidelines that Vivek Premkumar (the client) and his portfolio manager/advisor have decided upon. Vivek is a private individual investor with a **three to five year** investment horizon and a **moderately aggressive** risk tolerance (he scored 63 on his risk assessment, which is considered "Moderately Aggressive"). This IPS's main goal is to set precise goals and a methodical framework for managing Vivek's investment portfolio in accordance with his risk tolerance and growth-oriented objectives. It ensures that both the manager and the client have a shared knowledge of the strategy over the investment horizon by setting realistic expectations, goals, and rules.

This IPS specifically regulates the percentage of Vivek's assets that are devoted to an actively managed equity portfolio made up of alternative assets (such treasury notes) kept for risk management and U.S. consumer discretionary equities (chosen from the BlackRock's iShares IYC index). The IPS offers a strategy guidance that will promote efficient communication between Vivek and the adviser and provide a transparent policy roadmap by outlining the investment objectives and restrictions here. By outlining how the portfolio should be handled in different situations, this written policy aims to assist avoid rash or emotional judgments during market turbulence.

Scope: Vivek Premkumar's personal investment portfolio, which is intended for capital growth over a three to five year period, is covered by this IPS. With an emphasis on equity investments sourced from the U.S. consumer discretionary sector (the benchmark sector) and a supplemental allocation to low-risk instruments if required, the portfolio will be managed in accordance with the parameters outlined above. This IPS does not protect the client's other assets.

Purpose: The IPS will set the investment structure (diversification strategy, permissible assets, and asset allocation objectives) and specify Vivek's and his portfolio manager's roles in portfolio management. It seeks to guarantee that the strategy of the portfolio stays in line with Vivek's risk tolerance and return goals. As a live document, the IPS will serve as a guide for continuing portfolio management, performance assessment, and strategy reviews. under the end, it offers an unbiased policy framework to direct choices and uphold discipline, particularly under unfavorable market circumstances.

II. Governance

Roles and Responsibilities: This section explains the roles and responsibilities of those involved in portfolio management:

The Client: Vivek will need to determine his financial objectives, risk tolerance, and any limitations or preferences. He is in charge of comprehending the suggested tactics and authorizing this IPS. Any major changes to Vivek's goals or financial status will be promptly

communicated to the adviser. In addition to reviewing regular reports on portfolio performance and IPS compliance, he will offer suggestions or approve significant strategy adjustments. The investment policy and any revisions must ultimately be approved by Vivek.

Portfolio Manager/Adviser: The adviser, also known as the investment manager, is in charge of creating and carrying out the investment plan in accordance with this IPS. This entails choosing securities and adjusting asset allocations on a daily basis while adhering to legal restrictions, keeping an eye on the portfolio's performance, and making sure it stays in line with Vivek's goals and risk tolerance. The adviser will also be in charge of administrative tasks including reporting, performance evaluation, and portfolio rebalancing as necessary. Following the risk and asset class guidelines outlined in this IPS, he or she works as a fiduciary in Vivek's best interest. In addition to offering Vivek regular updates (such as quarterly performance reports and annual evaluations), the adviser will suggest IPS alterations if Vivek's situation or the state of the market call for them.

Custodian (If relevant): The funds will be protected by a custodian or brokerage business, which will also produce account statements and carry out trades as instructed by the adviser. They may help with performance reporting and will guarantee reliable record-keeping. By storing funds securely, the custodian contributes to risk management even if they do not have discretionary authority over investments.

Authority to Make Decisions: Vivek and the Portfolio Manager will collaborate, but they will have different powers: While the Portfolio Manager has the authority to carry out the agreed-upon plan on a daily basis, Vivek authorizes the overarching policy and any significant modifications. This implies that the manager does not require case-by-case clearance to choose or sell specific stocks, modify position sizes, and temporarily increase cash levels within the parameters of the IPS.

Any investment that might contravene the IPS, such as purchasing assets outside of the permitted universe or going beyond risk limitations, must first be addressed and authorized as an IPS modification.

Reviewing and Updating: At least once a year (for instance, during a yearly portfolio review meeting) or more frequently if noteworthy events take place, the IPS will be reviewed. Unusual market conditions that can call for a change in strategy are examples of such occurrences, as are significant changes in Vivek's financial status, risk tolerance, or investing time horizon. The client and adviser will assess whether the present policy is still suitable at each review. Performance outcomes, objective progress, and any new possibilities or limitations will all be taken into account. After that, if both parties agree, the IPS may be revised. The IPS continues to serve as the guiding document in the absence of any modifications. For example, every year, Vivek and the adviser would formally review the IPS to verify or improve the asset allocation and goals for the upcoming timeframe.

External Advisers: Other than the principal adviser, no other money managers are currently involved because this is an individual account. The Portfolio Manager will be in charge of suggesting such personnel and carrying out due diligence if, in the future, specialized external managers or funds are taken into consideration (for instance, utilizing an external fund for a portion of the portfolio). Any external management hiring or dismissal would require Vivek's approval. Reasonable costs, adherence to Vivek's policy criteria, and proven experience in the pertinent approach would be requirements for hiring external managers. Any external managers would be required to recognize and work within the limitations of this IPS, and the adviser would keep an eye on their performance and report it to Vivek.

Compliance and Accountability: The portfolio manager will continuously check if the portfolio is adhering to this IPS. The manager shall promptly take remedial action (such as rebalancing) and alert Vivek in the event of any unintentional infringement (for example, an asset drifting beyond its permitted range as a result of market movements). This IPS is signed by the manager and the customer, who both attest to their adherence to its rules. Any investment professional or fund that manages a portion of the assets will receive a copy of the IPS; they must accept its terms and pledge to follow them. The clear division of duties for policy-making, implementation, and monitoring, as well as their transparent and accountable execution, are guaranteed by this governance framework.

III. Investment Return and Objectives

Growth is Vivek's main investment goal for this portfolio, with a medium-term horizon of three to five years. His questionnaire demonstrates that he is more concerned with increasing the account worth than meeting his immediate financial demands. As a result, the portfolio will be focused on stock investments with significant room for growth. Achieving a total return for a moderately aggressive portfolio that is on par with or higher than the expectations of the broad stock market is the goal of the target return objective. Quantitatively speaking, the portfolio seeks a long-term average return in the high single digits (at least 10% annually), with the aspirational objective of outperforming the benchmark (IYC consumer discretionary index) performance net of expenses. Success would be characterized as exceeding a passive investment in the benchmark on a risk-adjusted basis and raising the portfolio's value considerably in real terms (after inflation) over the course of three to five years. It is acknowledged, therefore, that there is no assurance of outperformance and that real returns might vary in any given year.

Instead of using a completely passive index method, the portfolio strategy will actively invest in a few consumer discretionary firms (mentioned below) in an effort to achieve alpha, or excess return above the market. Thus, the performance of the market and the ability of active management are both related to the return goal. The predicted portfolio return (mean annualized) for the equity element is almost 18% annually, which is greater than the benchmark's expected return (~11% annually), according to an examination of the chosen investments (see Section 4). The deliberate tilting of the portfolio toward businesses with promising growth prospects and valuation upsides results in this greater predicted return.

It should be mentioned that this kind of predicted return is only an estimate to make sure the strategy is in line with Vivek's objectives and risk compensation, not a formal target that needs to be met annually. The overall return of the portfolio will be moderated by the risk-free allocation, which will be explained later. For instance, if 50% of the portfolio is allocated to equities, which have an expected return of about 18%, and 50% to T-bills, which have a yield of about 4%, the overall expected return would be about 11%, which is in line with Vivek's goals and appropriate for moderately aggressive growth.

Risk Tolerance: According to the assessment, Vivek has a moderately aggressive risk tolerance. This suggests that, while not to the extent of a really aggressive investor, he is prepared to tolerate significant volatility and temporary losses in the quest for larger gains. This profile is supported by his answers to the risk questionnaire. For example, he stated that he would probably "buy more" to take advantage of reduced prices rather than panic-sell in the case of a large stock market fall, indicating a high level of comfort with risk and a long-term outlook. Additionally, he has a multi-year perspective (3–5 years), which often enables him to weather market downturns. While this is a rather constrained time frame for whole stock market cycles, Vivek's mindset indicates he might withstand short-term volatility.

Because stocks are more volatile than bonds or cash, the portfolio will be centered on equity given this tolerance, and Vivek is aware that the account value will change annually. In return for the potential for larger profits in other years, a moderately active investor like Vivek should be ready for the risk of a portfolio value fall in any one year of at least 15% in a terrible market. The predicted volatility (standard deviation) of the equity element of the portfolio is around 18–20% each year, which is consistent with a growth portfolio and comparable to the risk of the stock market as a whole. Vivek's risk tolerance score of 63 is within the range that indicates a readiness to take on more risk than is typical. This implies that he can put up with volatility and short-term losses as long as there are good chances for long-term growth. Nevertheless, given that his investment horizon is only three to five years, we will include some risk-mitigation strategies (such as diversifying across a number of stocks and keeping a reserve in safe assets) to protect against the chance that a market downturn will occur at the end of his horizon.

In conclusion, Vivek's risk profile allows for a sector-concentrated, stock and risk free asset approach under close supervision. His growth-focused objective (no urgent need for liquidity), his capacity to withstand volatility (as demonstrated by his reported responses to market fluctuations), and his time horizon—which is long enough to warrant a sizable equity exposure but short enough to prevent highly speculative wagers—are the reasons for categorizing his tolerance as moderately aggressive. The portfolio will be set up to maximize the upside potential in a market rally while minimizing the worst-case realistic downside (possibly a 20–30% decline in a severe market collapse) to a level Vivek can withstand and recover from.

Risk/Return Requirements: Formally speaking, the necessary rate of return for this portfolio is whatever Vivek needs to reach his capital growth target in five years. We interpret the needed return simply as "maximize growth without violating risk comfort" because no precise future financial requirement or responsibility (such as a goal amount for a purchase or retirement) has

been indicated. Beyond outperforming inflation, there is no minimum return level required because there is no fixed liability that needs to be fulfilled. The portfolio must maintain a risk level consistent with a somewhat aggressive allocation. In other words, the volatility of the portfolio should normally be close to that of a high-equity portfolio (approximately 10% to 15% decline in a regular year, with larger drawdowns conceivable in exceptional circumstances). To make sure the risk of the portfolio is within that range, we will utilize the volatility of the consumer discretionary index (IYC), which is currently at 18–19% annual standard deviation. The beta of the portfolio will be between 0.9 and 1.0 in relation to the consumer discretionary sector as a whole, which means it moves in lockstep with the sector, but maybe a little more volatile because of active holdings. Given Vivek's tolerance, this degree of systemic risk is acceptable. A review would be prompted by any notable increase in risk, such as concentration resulting in idiosyncratic risk that exceeds expectations or a portfolio beta that rises significantly over 1.0. Conversely, the return goal would also be violated if the portfolio is not taking on enough risk.

Limitations: The following limitations and factors will be taken into account by the portfolio management:

Time Frame: The investment time period will be around 3 to 5 years. This medium-term perspective is one step. It shows that although the portfolio may withstand short-term volatility, as the period's end draws near, capital preservation must be taken into account. According to the 3–5 year perspective, the risk level may be progressively decreased by year 3 if money is required by year 5. The portfolio will be maintained with a rolling view over this time frame, but Vivek will always be aware that it may sell or reallocate funds in the 2028–2030 timeframe. We are restricted from making investments that need very long payback times or that are exceedingly illiquid due to this comparatively short horizon (especially in contrast to retirement portfolios that span decades). It also implies that the approach should be watched for market cycle risk; for example, if a significant gain has been made by year three and the objective is within reach, it may be wise to lock in some profits because there is not much time left.

Liquidity Requirements: This portfolio does not provide Vivek with any substantial short-term liquidity requirements. He doesn't depend on it to cover his immediate costs or monthly income. His risk questionnaire indicates that growth, not present income, is his objective, suggesting that interest and dividends may be reinvested. In order for this investment to be completely invested over the horizon, we suppose Vivek has additional money or streams of income to meet living expenses and emergencies. Nevertheless, we shall keep a small cash or cash-equivalent reserve (or the capacity to obtain funds rapidly) in case of unforeseen circumstances or tactical flexibility. If Vivek believes there will be a substantial withdrawal or purchase (such a down payment on a house) in the near future; this will be discussed and the IPS will be modified. Otherwise, there is less emphasis on liquidity, so we may invest in highly liquid assets like large-cap companies while avoiding any financial instruments that could lock up cash (private equity, long lock-up funds, etc., in this portfolio). Every selected security is traded on open markets with plenty of liquidity (for instance, the portfolio's stock holdings

include large corporations like Amazon, Walmart, etc., which are readily liquidated if necessary).

Tax Considerations: Unless otherwise specified, this IPS assumes the account is a taxable investment account rather than a tax-deferred retirement account. Consequently, tax efficiency is taken into account. Since Vivek is in a moderate-to-high tax band, the portfolio will favor methods that, wherever feasible, postpone or reduce taxes. For instance, instead of trading often, which might result in short-term gains taxed at higher rates, we intend to use a buy-and-hold strategy for the equities positions in order to get long-term capital gains treatment (holding duration > 1 year) on any earnings. Although many consumer discretionary firms pay low yields, we will also be aware of dividend taxation. Rapid turnover and short-term speculation are avoided by the portfolio, which helps reduce taxable events. The adviser will take tax implications into account if any rebalancing or adjustments are required, such as timing sales to optimize tax efficiency or harvesting losses during a downturn to balance gains. Other than normal U.S. tax law, there are no particular legal tax restrictions (such as mandatory minimum distributions or particular tax shelters) for this account. For thorough tax preparation, Vivek should speak with a tax adviser; nonetheless, the investing strategy will contribute by being tax-conscious.

Legal & Regulatory: All relevant rules and regulations will be followed when investing the assets. Following securities rules (no insider trading, etc.) and any account-specific restrictions are the main legal issues because this is an individual account. These assets are not subject to any particular court orders, trust limitations, or legal directions. Assuming a regular brokerage account, the portfolio will adhere to the rules of any account type. All investments will be U.S. exchange-listed stocks or SEC-registered funds/ETFs (including U.S. Treasury securities for the risk-free half). Legal permissibility will be confirmed if alternative assets are ever taken into consideration.

Particular Preferences or Situations: Vivek has shown a particular interest in investing in the U.S. consumer discretionary sector, which is demonstrated by the choice to base stock choices on the IYC index. Instead of a completely diversified market portfolio, this suggests a focused sector bet. According to Vivek and the adviser, there will be appealing prospects in the consumer discretionary industry in the upcoming years (see Section 4). The client is aware that this portfolio will not be exposed to other sectors (technology, healthcare, etc.), which makes it a unique choice that raises sector-specific risk. Although the portfolio in the consumer discretionary sector is diversified throughout a number of businesses (communication, consumer staples, etc.), it is not diversified across all economic sectors. The IPS recognizes this concentration and the increased volatility it might bring about; while the potential gains are bigger, consumer stock declines could have a big effect on the portfolio. There aren't any clear special restrictions, such as socially conscious investment standards or bans on particular businesses, except from sector concentration. Vivek has not mentioned any ethical or ESG limitations (for example, he is not mandating ESG screening in this portfolio or banning sin stocks).

Lastly, this portfolio will not employ leverage or derivatives. Because the customer prefers simple equity ownership, the IPS forbids borrowing against the portfolio (no margin loans to enhance exposure beyond 100% of capital) and does not consider the use of derivatives like options or futures. This makes the risk profile clear and eliminates the complexity and possible legal or tax problems that come with those instruments. The portfolio is presently a long-only equities and cash portfolio; it will only short securities or employ derivatives if specifically permitted by a future IPS modification.

IV. Asset Allocation & Investment Philosophy

Portfolio Asset Allocation: Vivek has a relatively moderately aggressive risk tolerance; therefore, stocks make up a large portion of the strategic asset allocation. To reduce overall volatility, a portion of the portfolio will be allocated to low-risk assets given the three to five year time frame. The following is the intended asset allocation:

Risky Asset Portfolio Equities: About 52% of the whole portfolio was invested in a variety of discretionary U.S. consumer companies, selected from the IYC index. This serves as the portfolio's growth engine and is anticipated to yield large returns at the expense of increased volatility.

Risk-Free Portfolio: About 48% of the whole portfolio is made up of fixed income and cash (risk-free assets), which are invested in extremely low-risk securities like money market funds or US Treasury bills. Because of the short investment horizon, this part protects money and stabilizes the portfolio.

An investigation of optimal capital allocation that strikes a balance between risk and return produced this composition. Actually, according to the Excel study, Vivek's risk level would be on the efficient frontier if he invested around 52% of his money in risky stock and 48% in risk-free assets. A "complete portfolio" with an **expected return of about 11%** and volatility much lower than a 100% equity allocation is produced by holding about half of the portfolio in T-bills (which yield about 4.25% risk-free) and the other half in the high-risk stock basket. This combination is deemed appropriate for a moderately aggressive investor over a period of three to five years. Although this strategic allocation suggests that a sizable percentage of the portfolio may always be held in cash or short-term bonds, the remainder of this section concentrates on the equity element (risky portfolio), which is the active component. That reserve might be used to satisfy the return goal with reduced volatility or to acquire more stocks on declines (tactical rebalancing). It's crucial to remember that this cash and equity allocation will be evaluated once a year; if Vivek's risk tolerance or horizon shifts, we may modify y (the weight of the risky portfolio) appropriately.

Equity Portfolio Composition: The iShares U.S. Consumer Discretionary ETF, or IYC index, will be used to choose all equity holdings. An index of 175 American equities in the consumer discretionary sector—which includes businesses that offer non-essential consumer products and services—is tracked by the IYC fund. The portfolio guarantees consistency with the selected benchmark and Vivek's sector conviction by restricting picks to this universe. Major consumer-

focused businesses including Amazon, Tesla, Walmart, Costco, Netflix, Home Depot, McDonald's, Disney, Booking Holdings, and Lowe's are among the IYC's top holdings. Vivek's portfolio is built as a focused subset of eight stocks from this universe that the client and adviser have determined are most appealing. Table 1 below lists these holdings together with their intended weights in the stock portfolio:

Selected Equity Holdings (from IYC)	Target Allocation (%)	Industry Sector
Amazon.com (AMZN)	22%	Consumer Discretionary
Tesla, Inc. (TSLA)	2%	Consumer Discretionary
Costco Wholesale (COST)	21%	Consumer Staples
Netflix, Inc. (NFLX)	10%	Communication
Booking Holdings (BKNG)	12%	Consumer Discretionary
Home Depot (HD)	17%	Consumer Discretionary
Walmart Inc. (WMT)	14%	Consumer Staples
Starbucks Corp. (SBUX)	2%	Consumer Discretionary

Fig 1: Equity Holding Weights

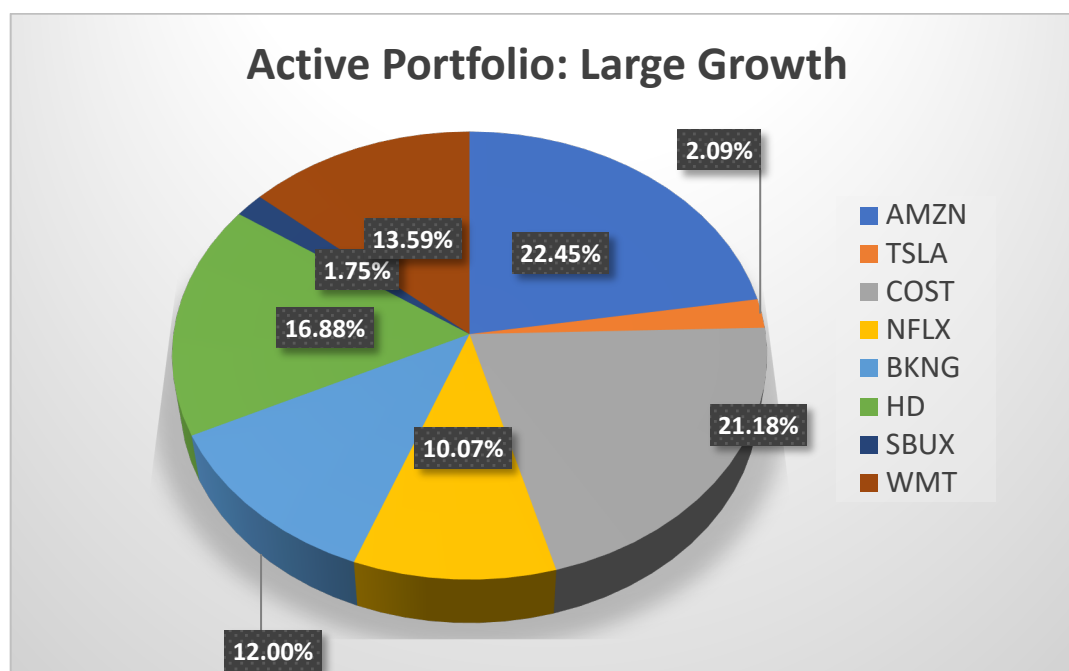


Fig 2: Equity Holding Weights Pie chart.

Allocation Rationale: The active and non-market-cap weighted allocation within equities does not replicate the index weights, but rather overweights stocks in which we have the strongest conviction. For instance, Amazon is approximately 14% of IYC.ISHARES.COM, but Vivek's portfolio aims for 25%, demonstrating a strong belief in Amazon's growth prospects and fundamental value. Similarly, Costco and Netflix are each approximately 4% to 5% of the index,

but are elevated to 15% positions here because of their superior risk-adjusted return profiles found by our analysis. The weightings also account for risk contribution: although more stable names like Costco and Walmart (lower betas) may carry bigger weights without as much added risk, highly high-beta companies like Tesla (Beta ~1.78 vs the sector) are capped at 10% to avoid excessive volatility.

The portfolio attains a respectable level of sectoral **diversity** by distributing among eight businesses. These holdings were purposefully selected to encompass a range of consumer activities, including travel and leisure (Booking), media and technology (Netflix, Tesla), online and physical retail (Amazon), and consumer staples and branding (Starbucks, which straddles discretionary and staple behavior). In many instances, there is a modest to low connection between the returns of these equities. This implies that the distinct elements of any business can counteract one another and lower unsystematic risk. To some extent, these dynamics can be counterbalanced. For instance, Booking Holdings (travel) may perform well when customers spend money on experiences, while Walmart (budget retail) may operate better when customers restrict their budgets.

Investment Philosophy and Selection Process: An “core-satellite” and “active stock selection” strategy is used to manage the portfolio:

Because we own a number of its top companies, we have a specialized exposure to the consumer discretionary industry, which is the **core**. The overall beta exposure to the consumer cycle is provided by this core. With the exception of stock-specific alpha, we make sure the portfolio beta stays close to 1 in relation to the sector so that it will move in tandem with the sector's movements.

The precise overweighting of particular stocks to produce alpha is known as the **satellite** or active overlay. To choose equities with the greatest predicted risk-adjusted returns, we used a quantitative index model analysis (using the single-index model and the CAPM). In comparison to the IYC index, each stock's predicted excess return (alpha) and risk (beta, volatility) were assessed. By overweighting companies that are cheap or have the potential to beat the market, we aim to capture positive alpha. All of the chosen equities had positive adjusted alphas, which means that, risk-adjusted, they should beat the index.

Additionally, the selection of stocks took into account qualitative assessment of industry and economic developments (explained in the prognosis below). Businesses with significant competitive advantages and secular development drivers were given preference by us:

- **Amazon** is the industry leader in cloud computing and e-commerce, taking advantage of long-term changes in consumer purchasing patterns and business cloud usage.
- Leading the EV revolution, **Tesla** is well-positioned to profit from the auto industry's transition (despite its increased risk).
- **Walmart** and **Costco** are retail behemoths with robust business models that can even thrive during recessions when customers are looking for deals. Their size and membership programs provide them defensive qualities.

- One of the leading streaming services, **Netflix**, stands to benefit from the ongoing cord-cutting trend and the desire for online entertainment worldwide.
- The biggest online travel company, **Booking Holdings**, is well-positioned to profit from travel recoveries (post-pandemic travel trends are still strong).
- As homeowners continue to spend money on their homes, **Home Depot**, the top home improvement shop, should expect steady demand. It may also benefit from an increase in housing turnover or an easing of mortgage rates.
- A play on reopening and consumer mobility is **Starbucks**, a worldwide consumer brand with price power.

Our approach of combining alpha potential with wise diversification is reflected in this combination of growth-oriented and defensive names. While maintaining some stability (Costco, Walmart, and Starbucks are steadier earners), we are essentially leaning toward growth (e.g., Amazon, Tesla, and Netflix are high-growth). These decisions were also influenced by the sector forecast discussed below.

Economic and Sector Prognosis: A positive prognosis for U.S. consumer spending in the upcoming years supports the choice to concentrate on consumer discretionary companies. Despite inflationary pressures, the economy has demonstrated resiliency as of the end of 2024, with strong consumer spending (Michaels, 2023). We believe that the robust employment market and potential interest rate reduction will maintain the pace of consumer spending through 2025, according to (Michaels, 2023). Interestingly, the Federal Reserve's cycle of interest rate increases seems to be coming to an end, and rate reductions may be in the works to promote economic expansion. In 2025, reduced rates may allow people to borrow more money and have more disposable income, which is encouraging for discretionary spending. Fidelity Investments analysts note that consumers are expected to continue spending if economic growth stays on course and the Fed offers more rate relief.

Furthermore, a number of consumer discretionary areas are experiencing secular uptrends following the pandemic disruptions: e-commerce is still growing (which benefits Amazon), travel has significantly recovered (which benefits Booking), and entertainment consumption has moved to digital platforms (which benefits Netflix). Because many households have saved money and are witnessing wage increases, U.S. consumers as a whole have managed to preserve relatively robust balance sheets, which supports continued purchasing. Recent market commentary indicates that the U.S. consumer discretionary sector produced market-beating gains in 2024, and if the labor market continues to be strong, this strength should continue into 2025 (Michaels, 2023).

In conclusion, we have a positive prognosis for the consumer discretionary sector over the next years. Maintaining a focused exposure to this industry is justified by this expectation. It is important to remember that discretionary equities are cyclical; they typically perform better during expansions and worse during recessions. This cyclicity is acknowledged by both Vivek and the counselor. We think there is a moderate, not a high, probability of recession in the near future, and the portfolio is set up to withstand mild slowdowns.

Implementation of the Portfolio: The main way that the portfolio will be put into action is by direct ownership of the stocks indicated above in Vivek's brokerage account. Because some holdings (like AMZN) would involve big dollar amounts, trades will often be conducted as limit orders or employing algorithms to minimize market effect. With a tolerance of a few percentage points, the first funds will be distributed based on the weights in Table 1. All dividend-paying stocks will have the option of allowing dividend reinvestment or allowing dividends to accrue as cash for periodic rebalancing; the tax efficiency of each strategy will be determined. To maintain safety and liquidity while generating return that is comparable to the Fed's interest rate, fixed-income component will be invested in Treasury bills, high-yield savings accounts, or money market funds that purchase short-term Treasuries.

In the future, the portfolio manager will make adjustments to the portfolio by combining quantitative and fundamental research. The quantitative framework supports the selection approach, which is primarily driven by competitive advantage analysis, valuation multiples, and earnings growth. We shall keep a close eye on the performance and future prospects of every asset. In the event that a company's fundamentals worsen or if its valuation significantly surpasses our objective, we may reduce or remove the investment in favor of a more affordable stock from the IYC universe. In a similar vein, we would suggest adding additional consumer-related possibilities if they meet Vivek's risk tolerance subject to an IPS update if it alters the portfolio composition considerably.

V. Risk Management & Performance Evaluation

To make sure the portfolio doesn't take on unexpected risks and is in line with Vivek's goals, a strong risk management procedure is essential. Similar to this, performance has to be properly monitored in order to assess success in relation to objectives and determine whether any changes are required. This section describes the methods for tracking risk and measuring outcomes:

Method of Risk Management

Portfolio Risk Measures: The portfolio manager will keep a close eye on the portfolio's primary risk indicators, such as beta, downside risk, and volatility. We have determined that the beta is around 0.91 and the first projected volatility of the equity part is approximately 19%. The manager will look into the reason (e.g., one stock becoming overly dominant or more volatile) and think about rebalancing or reducing exposure to bring risk back in line if volatility starts to consistently run much higher or if beta deviates significantly. Additionally, we will keep an eye on tracking error, which is the volatility of the excess returns in the portfolio relative to the benchmark. It is acknowledged that tracking error will be rather high due to the concentrated nature of this portfolio.

Limits on Diversification and Concentration: We maintain sector-specific diversification even when the portfolio is heavily concentrated in one area. Generally speaking, no one stock should

account for more than around 30% of the equity portfolio or more than about 15% of the entire portfolio. To prevent reliance on just one or two names, we will continue to enforce the requirement that at least five equities from the IYC universe be held at any given time. We will think about cutting any position to control concentration risk if it significantly exceeds its aim.

Stop-Loss and Drawdown Control: The IPS does not require hard stop-loss orders on equity positions because that might go against the long-term strategy. However, we do have a soft stop-loss policy in place, which states that the advisor will review the investment thesis if any individual stock drops more than 20% from its recent high or from our purchase price. We might close the trade to prevent more loss if the fall is the result of fundamental deterioration. We might hold or even add if the market noise is broader but the fundamentals are sound (in line with Vivek's propensity to "buy more" during downturns). In addition to avoiding panic selling, we also want to prevent unreported losses from a potentially unsuccessful thesis. If the equity part of the overall portfolio has a drawdown that exceeds a predetermined threshold (for example, a loss of more than 15%), the adviser and client will discuss whether de-risking is required or if the volatility is normal.

Rebalancing Policy: In order to preserve the desired asset allocation and risk profile, we shall periodically or as necessary rebalance the portfolio. Two rebalancing triggers exist:

Time-based equilibrium: The portfolio will be examined for rebalancing at least once every three months. We will reorient allocations toward aims during these evaluations if they have deviated substantially.

Threshold-based rebalancing: We will rebalance sooner if asset weightings deviate from specified tolerance bands. For significant asset classes, for example, we establish a tolerance of $\pm 5\%$. We would shift money between stocks and cash to restore the balance if the equity part, which is intended to be around 50% of total assets, falls above or below 45% as a result of market fluctuations (taking gains or deploying cash as necessary). Similar to this, each stock in the equity portfolio has a target weight. For example, if Amazon's stock rises from 25% to 35% of the equity slice, we would probably reduce it back to 25%, transferring the gains to cash or underweight stocks. On the other hand, we might top up a stock if its weight drops far below our objective (provided our belief in its fundamentals maintains). This type of band rebalancing maintains a "buy low, sell high" discipline and keeps the portfolio from becoming excessively imbalanced as a result of market fluctuations.

Transaction charges and taxes will be taken into consideration while rebalancing transactions. To prevent excessive trading, we won't rebalance for little deviations; instead, we'll do so when there is significant divergence or when money has to be invested.

Risk Monitoring and Reporting: At least once per quarter, the adviser will generate or acquire risk reports. Metrics such as sector exposure breakdown, portfolio beta, position-by-position attribution of volatility, and scenario assessments (e.g., stress-testing how the portfolio may react to a 10% market decline) may be included in these reports. The goal is to make sure that everyone knows where the risk in the portfolio is coming from. Macroeconomic indicators that measure consumer health, such as retail sales trends, consumer confidence indices, and

interest rate fluctuations, will receive special attention due to the sector concentration since they will be leading indications of sector risk. As a risk management strategy, the adviser may proactively lower equities exposure or adjust weights to more defensive stocks (like Walmart) if external conditions change (for example, a recession seems likely) before any threshold triggers are reached.

Benchmark and Market Risk: We implicitly accept the market risk associated with the consumer discretionary sector by benchmarking to IYC. The systematic risk of the portfolio will be controlled in relation to that standard. The portfolio beta is now at 0.91, and we plan to keep it close to 1. Changing the weights of high-beta and low-beta holdings may be one way to manage beta. For example, we may increase the weight in a low-beta stock like Walmart or increase the cash allocation if we discover the portfolio beta creeping too high (say if Tesla's share price surges, increasing its effect).

Tracking Error: We are aware that the portfolio is exposed to tracking risk, which is the volatility of the difference in returns between the portfolio and IYC, when it deviates from the index weights. To a certain degree, this tracking error is desirable and anticipated since without it, alpha cannot be produced. As a gauge of how well we are utilizing our active risk, we will keep an eye on the Information Ratio (IR), which is calculated by dividing the excess return above the benchmark by the tracking error. Effective utilization of active risk is indicated by a positive IR. Our estimates indicate that the portfolio's information ratio, which is based on predicted values, may be around 0.37 (risk-premium-to-tracking-error). We may think about aligning a little more with the benchmark weights to lower active risk if tracking error increases significantly but alpha doesn't appear.

Performance Assessment: Both an absolute and a relative evaluation of Vivek's portfolio's performance will be conducted.

Comparative Benchmark Performance: The IYC ETF serves as the main benchmark. The returns of the portfolio will be contrasted with IYC's overall return during the same time periods. Both gross performance and underperformance, net of any fees or transaction expenses, will be recorded. Given the active approach, we anticipate that the portfolio will exceed IYC in terms of total return over a few years of a full market cycle.

We acknowledge, nevertheless, that the portfolio may underperform in any given quarter or year (for instance, if any of our active selections lag or if our cash allocation leads us to miss part of a rally). For instance, if the sector is up 10% in a given year and our portfolio is up 12%, that year is considered successful; if the sector is down 5% and our portfolio is down 3%, that relative outperformance is likewise considered good in terms of risk management.

To assess the quality of performance, we shall employ **risk-adjusted metrics**:

The portfolio's **Sharpe Ratio** will be contrasted with IYC's. As said, the benchmark Sharpe is 0.37 and the predicted Sharpe is 0.74. Our goal is to eventually see a Sharpe that either matches or surpasses the standard. This would suggest that we're receiving greater return per unit of risk rather than merely taking on more risk in order to obtain more return.

We'll compute the **Alpha (Jensen's Alpha)** in relation to IYC. Jensen's Alpha calculates the excess return on the portfolio over the return expected by its beta times the benchmark. According to our first estimate, the portfolio's Jensen's Alpha is around 7.7%, which indicates that it is projected to generate 7.7% higher annual returns than its beta alone would suggest—a very strong alpha. In actuality, any long-term positive alpha would indicate that the active strategy was successful. Every year, we'll monitor alpha.

The **Treynor Ratio** is calculated by dividing return by beta minus risk-free. It calculates profits for every unit of market risk. Since $\alpha > 0$, we anticipate that the portfolio's Treynor ratio will be larger than the benchmark's. For example, the portfolio's Treynor was 0.1547 according to original forecasts, whereas IYC's was 0.0703. Every year, we will also review the Treynor.

As previously stated, the **Information Ratio** measures the amount of surplus return we receive for each unit of tracking mistake. An effective active approach is indicated by a high IR, even higher than Sharpe. The selected portfolio had an excellent Information Ratio of around 0.37, according to our study. We will track IR over a number of years; an IR above zero indicates that we are outperforming the index, which has been adjusted for consistency; an IR above 0.2 or 0.3 indicates strength.

Absolute Performance vs. Goals: In addition, we will take into account whether the portfolio is on course to achieve Vivek's individual objectives. For instance, we would examine if the CAGR (compound annual growth rate) is reaching Vivek's implied aim of "earning at least 8% per year to double the money in ~9 years" (albeit the 3–5 year horizon is shorter). We'll use a broad benchmark, such as "exceed inflation by a healthy margin" or "achieve growth consistent with a high-equity portfolio," because there was no defined needed return.

Periodic Reporting: Vivek will receive quarterly performance reports from the adviser. The overall value of the portfolio, contributions and withdrawals, income, and capital gains and losses for the time period will all be displayed in these reports. Quarterly, year-to-date, and since-inception performance will be displayed, and for the same periods, it will be contrasted with the IYC benchmark. Any significant deviations from the benchmark will be explained in the report along with a summary of any portfolio modifications. A more thorough report with all of the risk-adjusted measures mentioned above will be generated at year's end.

Attribution Analysis: At least once a year, we shall do performance attribution in order to assess the sources of performance. The surplus return will then be divided into:

Effect of Sector Allocation: (Although we're just talking about one industry here, this mostly concerns our choice between cash and stock.) If we had 50% cash on hand and the market rose, that choice in asset allocation would result in poor performance, which would be attributed to that.

Effect of Stock Selection: The performance of the stocks and weights we selected in comparison to the sector average is known as the "stock selection effect." For instance, there

would be a positive selection impact if Amazon performed better than the industry and we were underweight. Determining which decisions contributed value and which did not will be made easier with the use of attribution analysis. After that, we may determine whether any changes to our approach are required (for example, if all of our misses originate from a single industry, we might need to modify exposure).

Interaction Effect: Any combined impact of allocation and selection is known as the "interaction effect"; it is often small but will be considered.

Period of Evaluation: We see performance throughout a whole market cycle, or at least a few years, as more representative than any one quarter. There can be periods of poor performance due to the dynamic, focused nature. We won't give up on the tactic too soon unless they continue or point to a malfunction. We anticipate that it may take two to three years for our strategy to show definite effects, either positive or negative. Therefore, while we track performance quarterly, we will formally evaluate the success of the strategy after, say, 3 years (which is within the horizon). We will assess if the portfolio achieved its goals at that time (and, of course, after five years). Achieving a larger cumulative return than IYC (net of fees), keeping volatility within anticipated boundaries, and, ideally, surpassing what a more cautious approach would have produced by the end of five years (justifying the risk taken) are all criteria for success.

Adjustments & Corrective Actions: The adviser will review the strategy if performance continuously falls short of expectations (for instance, having negative alpha for more than two years or underperforming the benchmark by a sizable margin for four consecutive quarters without a discernible reason). We would look into whether our stock investment theories were wrong or if the market underwent unanticipated fundamental changes. Redistributing to other stocks in the sector with better prospects, lowering active risk by approaching index weights (basically admitting that stock selection is tough), or, if absolutely necessary, reevaluating the sector concentration are some possible corrective measures.

Client Reporting and Review Meetings: We will discuss performance in review meetings, which will take place at least once a year, if not more frequently. Vivek will get the reports. We will assess strategy adherence in addition to numbers during these meetings. We could review the IPS if Vivek's own risk tolerance has altered as a result of witnessing the volatility. For example, even if performance is good, we may lower the equity allocation or diversify sectors further if Vivek believes the fluctuations are too nerve-racking after a year. It's important to match his comfort level. On the other hand, we may think about increasing the equity allocation or leveraging possibilities (again, only via IPS modification) if he feels at ease and potentially wants to become more aggressive.

VI. Client Acknowledgment

I, **Vivek Premkumar**, acknowledge the review of the Investment Policy Statement (IPS) and confirm that the investment objectives, risk tolerance, constraints, and other specifications outlined in this IPS remain accurate and appropriate.

Signature:  _____

Date: 04/06/2025 _____

Portfolio Manager Acknowledgment

I, **Vivek Premkumar**, acknowledge the review of the Investment Policy Statement (IPS) and confirm that the management of the portfolio will continue to adhere to the objectives, guidelines, and constraints as stated herein.

Signature:  _____

Date: 04/06/2025 _____

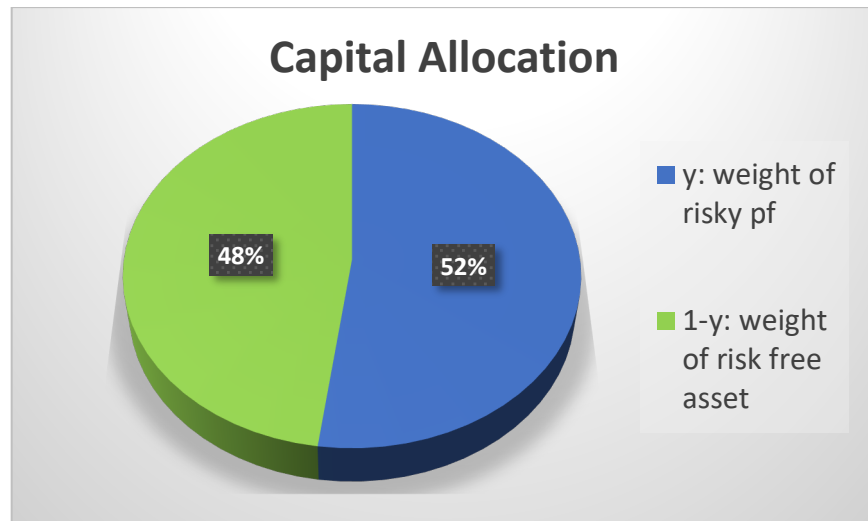
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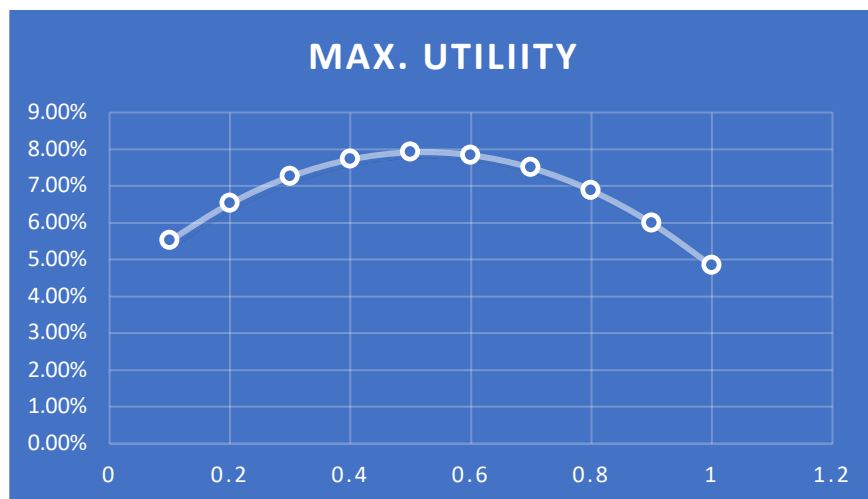
1. Risk Tolerance Questionnaire

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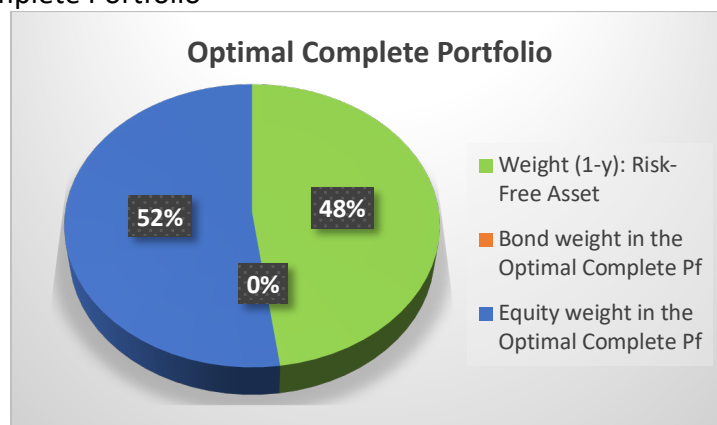
2. Capital Allocation



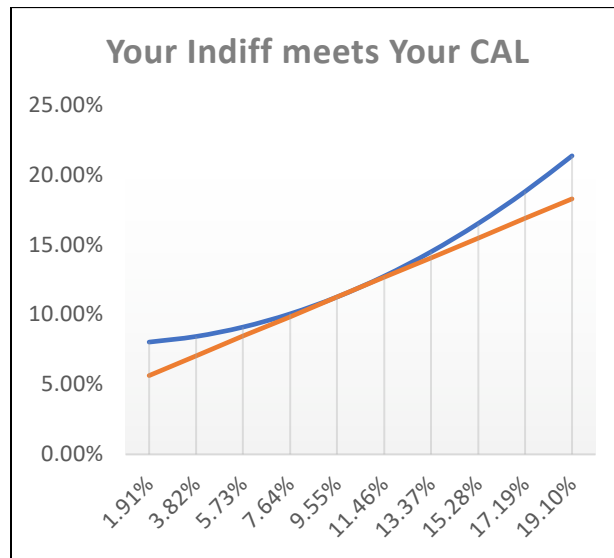
3. Maximum Utility Curve



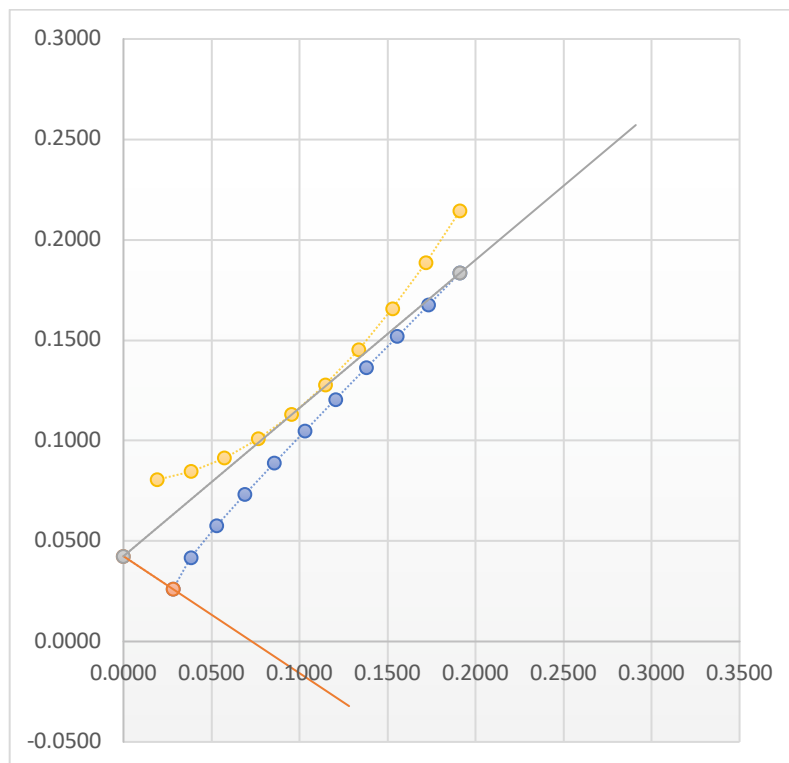
4. Optimal Complete Portfolio



5. Indifference Curve and CAL



6. Efficient Frontier meeting the CAL for Optimal Risky Portfolio



7. Bond Convexity

